

2. Value Line publishes a weekly summary of the stocks that have lost the most value in the preceding 13 weeks. It is another terrific indicator of distress. This list of 40 stocks routinely shows price drops of 20 percent to 70 percent over that period. The ones with the largest drops are likely the most distressed. It also has a summary every week of the stocks with the lowest price-to-earnings ratios (P/Es), widest discount to book value, highest dividend yield, and so on. Not all these businesses are distressed, but if a business is trading at a P/E of 3, it is worth a closer look.
3. There is a publication called *Portfolio Reports* (www.portfolioreports.com) that is published monthly. It lists the 10 most recent stock purchases by 80 of the top value managers. It gleans this information from the various filings that institutional investors are required by law to make. *Portfolio Reports* lists the buying patterns of such luminaries as Seth Klarman of Baupost, Lou Simpson of GEICO, Marty Whitman of Third Avenue, Peter Cundill of the Cundill Group, Bruce Sherman of Private Capital Management, and Warren Buffett. These managers aren't 100 percent focused on distressed situations, but they are focused on value. Distressed situations are a subset of value investing, so some of their investments fall into the distressed category.
4. If you'd like to avoid the subscription price tag for *Portfolio Reports*, then much of that data can be gleaned by looking directly at the public filings (e.g., SEC Form 13-F) that institutional investors have to make. These can be accessed on the EDGAR system (<http://access.edgar-online.com>). Alternatively, www.nasdaq.com provides much of the data in condensed form. To get to the data, on the Nasdaq.com main page enter any one ticker symbol of a holding you think one of the value investing stars holds. I know Marty Whitman of Third Avenue has owned Tejon Ranch (TRC) for many years, so enter TRC and click on "InfoQuotes," then click on "Holdings/Insiders," then click on "Total Number of Holders." Now click on "Third Avenue Management," and you get a listing of virtually everything Third Avenue owns in U.S. stocks. You can do a Google search to get the name of the one ticker you need. For example, if I enter "Longleaf 13F" into the Google search